

MCQS

ECO403 midterm preparation file

ZB

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ

In the name of God , Most
Gracious, Most merciful



ECO403

MCQS

1. Which of the following is not a characteristic of a perfectly competitive market? a) Homogeneous products
b) No barriers to entry
c) Price makers
d) Perfect information

Answer: c) Price makers

2. In the short run, a firm's supply curve is the portion of the marginal cost curve that lies above: a) Average cost
b) Marginal revenue
c) Average variable cost
d) Total cost

Answer: c) Average variable cost

3. In the long run, a perfectly competitive firm earns: a) Positive profit
b) Zero profit
c) Negative profit
d) None of the above

Answer: b) Zero profit

4. The demand curve in a monopoly is: a) Perfectly elastic
b) Downward sloping
c) Vertical
d) Horizontal

Answer: b) Downward sloping

5. In a monopoly, the marginal revenue curve lies: a) Above the demand curve
b) Below the demand curve
c) Along the demand curve
d) Equal to the demand curve

Answer: b) Below the demand curve

6. What happens in the short run if a firm's price is below its average variable cost? a) It will continue to produce
b) It will shut down
c) It will lower its output
d) It will increase its output

Answer: b) It will shut down

7. Which of the following is an example of a public good? a) National defense
b) Private education
c) Fast food
d) Car insurance

Answer: a) National defense

8. The marginal product of labor is diminishing when: a) The marginal product of labor increases
b) The total product increases at an increasing rate
c) The total product increases at a decreasing rate
d) The firm hires more labor

Answer: c) The total product increases at a decreasing rate

9. Which market structure has a large number of firms, but each firm's product is differentiated?

- a) Perfect competition
- b) Monopoly
- c) Oligopoly
- d) Monopolistic competition

Answer: d) Monopolistic competition

10. Price discrimination is possible in: a) Perfect competition

- b) Monopoly
- c) Oligopoly
- d) Monopolistic competition

Answer: b) Monopoly

11. In the long run, a monopolistically competitive firm produces at: a) Maximum profit

- b) Efficient scale
- c) Zero economic profit
- d) Excessive output

Answer: c) Zero economic profit

12. The deadweight loss in a monopoly arises because: a) The monopolist produces more than the competitive quantity

- b) The monopolist produces less than the competitive quantity
- c) The price is lower than the competitive price
- d) The price is higher than the competitive price

Answer: b) The monopolist produces less than the competitive quantity

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13. In an oligopoly, firms engage in: a) Collusion

b) Perfect competition

c) Price taking

d) Price leadership

Answer: a) Collusion

14. Which of the following is an example of a natural monopoly? a) Software company

b) Utility companies (water, electricity)

c) Fast food chains

d) Airlines

Answer: b) Utility companies (water, electricity)

15. In the short run, a firm's total fixed cost: a) Decreases as output increases

b) Increases as output increases

c) Remains constant

d) Becomes variable

Answer: c) Remains constant

16. The law of diminishing marginal utility states that as a person consumes more of a good: a)

Total utility increases at an increasing rate

b) Total utility increases at a decreasing rate

c) Marginal utility increases

d) Marginal utility stays constant

Answer: b) Total utility increases at a decreasing rate

17. A positive externality results in: a) A market price higher than the social optimum
b) A market quantity lower than the social optimum
c) A market quantity higher than the social optimum
d) No change in the market outcome

Answer: b) A market quantity lower than the social optimum

18. If the price elasticity of demand is greater than 1, demand is: a) Elastic
b) Inelastic
c) Unit elastic
d) Perfectly inelastic

Answer: a) Elastic

19. If a firm is operating in a perfectly competitive market and the price is equal to marginal cost, the firm is: a) Maximizing profit
b) Minimizing loss
c) Breaking even
d) None of the above

Answer: a) Maximizing profit

20. The long-run average cost curve: a) Slopes upward due to diseconomies of scale
b) Slopes downward due to economies of scale
c) Is U-shaped
d) Is vertical

Answer: c) Is U-shaped

21. Which of the following is true about a firm's demand curve in perfect competition? a) It is downward sloping
b) It is perfectly elastic
c) It is upward sloping
d) It is vertical

Answer: b) It is perfectly elastic

22. In the case of a negative externality, the social cost is: a) Equal to the private cost
b) Greater than the private cost
c) Less than the private cost
d) Unrelated to the private cost

Answer: b) Greater than the private cost

23. Which of the following is a feature of a monopolistic competition market structure? a) Few firms
b) Homogeneous products
c) Significant barriers to entry
d) Differentiated products

Answer: d) Differentiated products

24. Which market structure is characterized by a small number of large firms? a) Perfect competition
b) Monopoly
c) Oligopoly
d) Monopolistic competition

Answer: c) Oligopoly

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25. In a perfectly competitive market, firms will: a) Maximize profit

b) Earn positive economic profits in the long run

c) Produce where price equals marginal cost

d) Engage in price fixing

Answer: c) Produce where price equals marginal cost

26. Which of the following best describes price elasticity of supply? a) The responsiveness of quantity supplied to a change in price

b) The responsiveness of quantity demanded to a change in price

c) The percentage change in price relative to a percentage change in supply

d) The price at which supply equals demand

Answer: a) The responsiveness of quantity supplied to a change in price

27. Which of the following is not a reason for market failure? a) Externalities

b) Public goods

c) Perfect competition

d) Market power

Answer: c) Perfect competition

28. Which of the following is an example of a private good? a) National defense

b) Street lighting

c) Clean air

d) A sandwich

Answer: d) A sandwich

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29. The law of supply states that: a) As price increases, the quantity supplied decreases

b) As price increases, the quantity supplied increases

c) As price decreases, the quantity demanded increases

d) As price increases, the quantity demanded decreases

Answer: b) As price increases, the quantity supplied increases

30. If a firm is producing at the point where marginal cost equals average variable cost, the firm is: a)

Maximizing profit

b) Minimizing loss

c) In a break-even situation

d) In the shutdown point

Answer: d) In the shutdown point

31. Which of the following is true about a monopolist's price discrimination? a) It charges the same price to all consumers

b) It charges higher prices to consumers with less elasticity of demand

c) It sets price equal to marginal cost

d) It produces at the socially efficient level of output

Answer: b) It charges higher prices to consumers with less elasticity of demand

32. Which of the following factors does not affect the elasticity of demand? a) Availability of substitutes

b) Necessity versus luxury

c) Time period under consideration

d) The firm's cost structure

Answer: d) The firm's cost structure

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33. Which of the following is true for a monopoly? a) The firm is a price taker
b) There are no barriers to entry
c) The firm can set its price
d) The firm produces at the point where marginal revenue equals marginal cost

Answer: c) The firm can set its price

34. A firm's marginal cost curve is upward sloping due to: a) Diminishing marginal returns
b) Increasing returns to scale
c) The law of demand
d) The law of supply

Answer: a) Diminishing marginal returns

35. Which of the following would most likely result in an increase in the price of a good? a) An increase in the demand for the good
b) A decrease in the cost of producing the good
c) An increase in the supply of the good
d) A technological breakthrough

Answer: a) An increase in the demand for the good

36. In a perfectly competitive market, in the long run, firms produce at: a) A profit-maximizing level of output
b) A loss-minimizing level of output
c) A point where price equals marginal cost
d) A point where price is above average total cost

Answer: c) A point where price equals marginal cost

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37. The price elasticity of demand is defined as: a) The percentage change in price divided by the percentage change in quantity demanded

b) The percentage change in quantity demanded divided by the percentage change in price

c) The change in price divided by the change in quantity demanded

d) The ratio of price to quantity demanded

Answer: b) The percentage change in quantity demanded divided by the percentage change in price

38. If the price elasticity of demand is equal to 1, the demand is: a) Elastic

b) Inelastic

c) Unit elastic

d) Perfectly elastic

Answer: c) Unit elastic

39. When the government imposes a price ceiling below the equilibrium price, it results in: a) A shortage

b) A surplus

c) No effect on the market

d) An increase in quantity supplied

Answer: a) A shortage

40. Which of the following is a typical feature of an oligopoly? a) Homogeneous products

b) Many small firms

c) Barriers to entry

d) Perfect information

Answer: c) Barriers to entry

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41. In a perfectly competitive market, what happens if a firm's price is above the market equilibrium price? a) The firm will lose customers
b) The firm will increase its production
c) The firm will decrease its production
d) The firm will face excess demand

Answer: a) The firm will lose customers

42. Which of the following best describes a public good? a) A good that is both non-rival and non-excludable
b) A good that is rival but non-excludable
c) A good that is excludable but non-rival
d) A good that is rival and excludable

Answer: a) A good that is both non-rival and non-excludable

43. Which of the following is the most likely outcome of a government-imposed price floor above the equilibrium price? a) Shortage of the good
b) Surplus of the good
c) No change in the market
d) Decrease in the quantity supplied

Answer: b) Surplus of the good

44. Which of the following is true for a monopoly in the long run? a) The firm will always make zero economic profit
b) The firm will produce at the socially efficient output level
c) The firm can set both price and output
d) The firm will produce at the point where marginal cost equals marginal revenue

Answer: c) The firm can set both price and output

45. In the long run, a firm operating under monopolistic competition will: a) Earn positive economic profits
b) Earn zero economic profits
c) Earn negative economic profits
d) Not be able to differentiate its product

Answer: b) Earn zero economic profits

46. Which of the following is a characteristic of a perfectly competitive market? a) Firms have some control over the price
b) Products are differentiated
c) There are significant barriers to entry
d) Firms are price takers

Answer: d) Firms are price takers

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WhatsApp:

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<https://youtu.be/-AMj4iNz0UE?si=hg29pJZ1kujzg57J>

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Passing criteria of this course

Letter Grade	Grade Points	Equivalent Percentage
A+	4.00	90-100
A	4.00	85-89
A-	3.66 - 3.99	80-84
B+	3.33 - 3.65	75-79
B	3.00 - 3.32	71-74
B-	2.66 - 2.99	68-70
C	2.00 - 2.65	61-67
D	1.00 - 1.99	50-60
F	0.00	00-49

Passing Criteria for a Course:

The passing criteria is defined in such a way that it ensures the student shall be consistent in his studies throughout the semester.

Therefore, for passing a course/subject, student shall fulfill the following:

- Secure minimum **20%** score in Formative Assessments/Mid terms
- Secure minimum **20%** score in Final Term Examinations.
- Secure at least **40%** marks in aggregate while fulfilling the above requirements

Course Selection and Credit Hours

Q: How do I select courses when the course selection is open?

A: Follow these steps:

- 1. Check the credit hours allowed by your university (e.g., 21, 18, or 15 credit hours).**
- 2. Each subject typically has 3 credit hours.**
- 3. Divide the total allowed credit hours by 3 to determine how many subjects you can select.**

Examples:

21 credit hours = 7 subjects

15 credit hours = 5 subjects

Remember, the university may allow different credit hours for each student, so check your specific allowance.

By following these steps, you can make informed decisions during course selection and manage your credit hours effectively.

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Advice

Hmaesha relax ho ke parha kryn panic mat hua kryn apky parents ky bohat khawab hoty hn wo pura krny ki puri koshish kea kryn kbi b ksi pe depend na kea kryn apko bs ak insan success kr saqta ha or wo insan ap khud hn apky elawa koi nahe ap bs koshish kryn Allah pak pe strong yakeen rakha kryn or mehnat krke sb Allah ke hawaly kr dea kryn everything is possible be brave be strong stay blessed

Hum insan hamesha moat se darty or bhagty hn or moat se bachny ki koshish krty hn jabke moat ny ana hi ana ha hum

moat se nahe bach saqty humy jahanam se bachny ki koshish
krni chaheay hum jahanam se bach saqty hn
Insan ko 3 chezo se dar lagta ha Moat Risk/Dolat Ezat Shohrat
Fame

Moat

**Humy pta hona chaheay Moat tab ani ha jab Allah
chahy us se pehly puri dunya bi ak taraf ho ke apko
marna chahy to apka kuch nahe beggar saqti**

Risk/Dolat

**Risk Dolat sb Allah pak ke hath m ha puri dunya ak
taraf b ho jay na apsy apka risk cheen saqti ha na de
saqti ha Ye sirf ALLAH pak ky hath m ha**

Izat Zilat shohrat Fame

**Izat Zilat Sirf Allah de saqty hn puri dunya mel ke b
apko zra brabr b damage nahe kr saqti Agr ALLAH**

**Apko izat dena chahay to puri dunya ak taraf ho ke
b apko 1% b nuksan nahe pohancha saqti**

Phr Dar ks bat ka ????????????????

**Be brave be strong Just put your trust To ALLAH
Hamesha Confident or himat se raho kbi ksi k samne
mat jhuko puri dunya mel k b apka kuch b nahe
beggar saqti**

ZB
MY REQUEST FROM ALL OF YOU

ZB Request from All of you My family

Mjy ap sbki help or support ki zarort ha or wo ye k hum sb Mel kr Allah ka Quran ki Urdu translation logo tak pohanchy or Quran ko samjna asaaan kryn dosro k leay sb tak Allah ka Quran pohanchy it's my campaign hum log 70+ age k ho jaty hn phr b hmy namaz tak ki translation nahe pta hoti k hum Allah pak se

Kya Dua kr rhy hn so hum youngster's ko Mel kr puri takat or energy ke sath Allah ka Quran spread krna ha

Hum puri Koshish kr rhy hn k hum sb Mel k Quran ki translation or most important topics ko maximum share kry with translation hmara maksad Quran ko spread krna ha be a part of us

m apni pocket se ye sb kr rha ho Allah ka Quran spread krny k leay apne or mene sbny Marna ha ak din to q na Allah k leay Kuch kryn apni energies apni power ko bajay negative use krny k Allah k leay invest kryn khud ko be a part of us

Agr m 23 ki age m apny sare sources use kr rha ho pocket se heavy amounts give away kr rha ho Quran spread krny k leay to ap just share to kr saqty hn itna e krdyn

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Agr ap mujsy contact na kr sky too b ap jo b hn jaha bi hn waha Allah ka quran pheelay zada se zada with urdu translation jitni himat ha utna share kryn

..... **MY Family**

**ust Relax and focus! Exams are not difficult. Put in your
100% effort and trust in Allah.**

..... **AL-Quran**

**"And indeed, with hardship comes ease." (Quran 94:5)
Remember, I'm here to support you! Stay brave and strong!"**

May Allah bless you